Adobe Systems Incorporated (NASDAQ:ADBE)

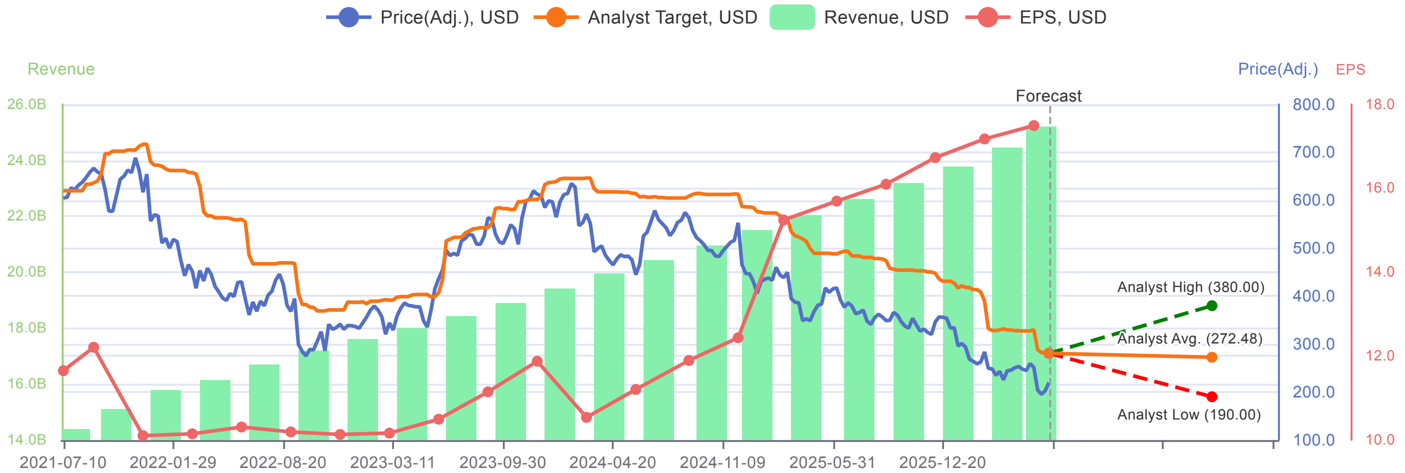
Key Indicators:

Date: Jul 8, 2026

Stock Price	$221.5

52-Week Range	$190.1 - $386.6	EPS Revisions (90d)	↑ 26 ↓ 0	Revenue	$25.2B
Market Cap	$88.1B	PEG Ratio	1.03	Revenue Forecast	$26.6B
P/E Ratio	12.2	FCF Yield	11.7	1-Year Change	-42.0%
P/E (Fwd.)	9.04	EV / EBITDA	9.20	Div Yield	0%
EPS Actual	20.9	Book / Share	28.5	Div. Growth Streak	-
EPS Estimate	24.5	Beta (5Y)	1.43	Next Earnings	2026-09-10

5-Year Chart



Executive Summary

WarrenAI

Adobe Systems Incorporated (NASDAQ: ADBE) is a San Jose-based software giant offering creative, document, and digital experience solutions globally through its Creative Cloud, Document Cloud, and Digital Experience segments.

Adobe reported record Q2 FY2026 revenue of $6.62 billion , up 11% year-over-year in constant currency, with non-GAAP EPS of $5.96 — beating forecasts of $6.46B and $5.82 respectively. Annual Recurring Revenue reached **$27.1 billion (+12.5% YoY)** , bolstered by the ~$480M ARR contribution from the Semrush acquisition closed in April '26. Full-year FY2026 guidance was raised to **$26.5–$26.6 billion in revenue** and non-GAAP EPS of $24.35–$24.45.

Despite the beat, Adobe's stock has declined sharply, trading near its 52-week low. The company is pivoting aggressively to a freemium strategy , deferring planned Creative Cloud price optimizations — a move that lowers second-half ARR growth expectations from individual subscribers by approximately **$500 million** . This strategic shift, while potentially positive long-term, has rattled near-term investor sentiment. Simultaneously, Adobe faces dual leadership transitions : CEO Shantanu Narayen is stepping down to board chair, and CFO Dan Durn has departed, with Steve Day serving as interim CFO.

On the competitive front, *Bank of America reinstated coverage with an Underperform rating and $190 price target* , citing AI competitive threats, slowing ARR growth, and the Adobe Stock marketplace declining for two consecutive quarters. Conversely, Adobe's acquisition of Topaz Labs (AI video/image enhancement) and its announced NVIDIA partnership signal continued AI investment. **AI-first ARR has tripled year-over-year to over $500 million** , and Firefly ARR grew ~50% quarter-over-quarter.

Valuation has compressed dramatically — the forward P/E for FY2026 stands at **9.04x** , well below the software sector median, with a Fair Value estimate of $360.45 versus the current price near $221. The median analyst target is $272.48, with a wide range of $190–$380, reflecting significant uncertainty.

Adobe's **profitability rating of 9/10** and ~89% gross margins remain standout strengths, though growth concerns and leadership risk temper the outlook.

Fair Value

Upside	62.7%
Fair Value	$360.4

Financial Health

5.4/10
Growth Rating

9.1/10
Profitability Rating

6.0/10
Cash Flow Rating

Financial health is determined by ranking the company on over 100 indicators compared to other companies in its sector that operate in similar economic markets.

Valuation

Reporting Date	2023	2024	2025	2026	2027
Period Ending	**01/12**	**29/11**	**28/11**	**30/11**	**30/11**
Capitalization	$278.2B	$227.1B	$134.0B	$88.1B	$88.1B
P/E Ratio	54.3	42.4	19.3	9.04	8.36
Div. Yield	0	0	0	0	-
Capitalization / Revenue	14.7	10.8	5.78	3.32	3.05
EV / Revenue	14.5	10.8	5.81	3.37	3.10
EV / EBITDA	39.0	27.7	14.9	7.04	6.50
EV / FCF	41.3	37.4	16.7	-	-
FCF Yield	2.74	2.88	7.16	-	-
Price / Book	17.6	15.6	11.4	7.65	-

- Forecast

Pro Tips

Tips that distill complex financial data into concise, actionable investment insights.

- Management has been aggressively buying back shares
- High shareholder yield
- 26 analysts have revised their earnings upwards for the upcoming period
- Impressive gross profit margins
- Valuation implies a strong free cash flow yield
- Prominent player in the Software industry
- Cash flows can sufficiently cover interest payments
- Analysts predict the company will be profitable this year
- Profitable over the last twelve months

- Stock has taken a big hit over the last six months
- Trading at a high Price / Book multiple

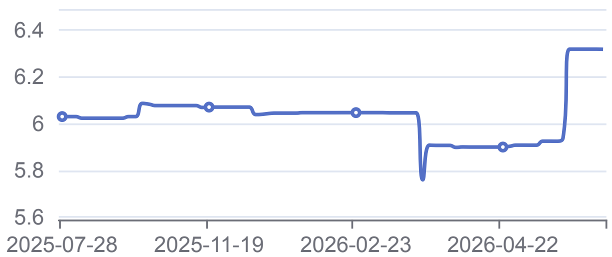
- Short term obligations exceed liquid assets
- Operates with a moderate level of debt
- Does not pay a dividend to shareholders

Analyst Projections:

Analyst EPS Forecasts

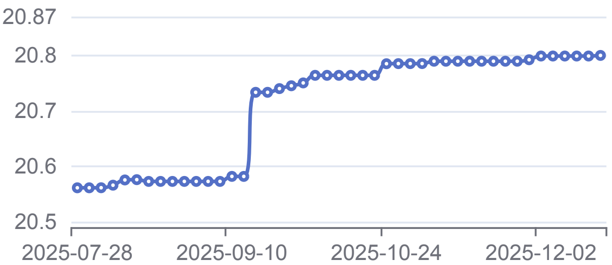
Period Ending	Average	YoY Growth	Forward P/E	# of Analysts
2026	24.51	16.6%	9.0x	31
2027	26.5	12.7%	8.4x	32
2028	28.82	14.3%	7.7x	15

EPS Revisions Q3 2026



The chart above depicts the trend in analyst earnings per share (EPS) forecasts for the upcoming quarter. Analysts have increased this quarter's expectations by 0.0% for EPS from $4.97 per share to $4.97 per share over the last 12 months.

EPS Revisions FY2026

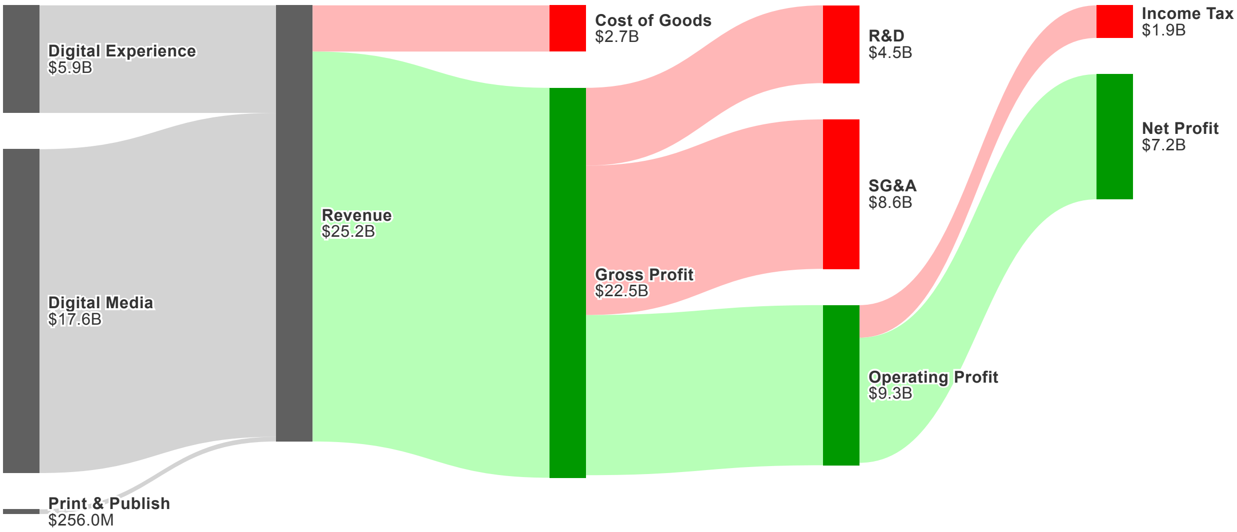


The chart above depicts the trend in analyst earnings per share (EPS) forecasts for the FY2025. Analysts have increased this quarter's expectations by 1.2% for EPS from $20.56 per share to $20.80 per share over the last 12 months. The company is expected to report earnings for Q3, 2026, on September 10, 2026.

Latest Ratings

Date	Analyst	Rating	Target
Jul 07, 26	BofA Securities	Sell	$190
Jul 02, 26	HSBC	Buy	$308
Jun 29, 26	Phillip Securities	Hold	$203
Jun 26, 26	Piper Sandler	Hold	$240
Jun 12, 26	Griffin Securities	Buy	$380
Jun 12, 26	UBS	Hold	$225
Jun 12, 26	DA Davidson	Buy	$250
Jun 12, 26	RBC Capital	Buy	$285
Jun 12, 26	Piper Sandler	Hold	$240
Jun 12, 26	KeyBanc	Sell	$195
Jun 12, 26	BMO Capital	Hold	$230
Jun 12, 26	Bernstein SocGen Group	Buy	$379
Jun 12, 26	Goldman Sachs	Sell	$190
Jun 12, 26	Mizuho	Hold	$245
Jun 12, 26	Wolfe Research	Hold	N/A
Jun 12, 26	Wells Fargo	Buy	$250
Jun 12, 26	Oppenheimer	Hold	N/A
Jun 12, 26	Baird	Hold	$230
Jun 12, 26	TD Cowen	Hold	$245
Jun 12, 26	Evercore ISI	Hold	$225
Jun 12, 26	Citizens	Hold	N/A
Jun 12, 26	Barclays	Hold	$250
Jun 12, 26	Stifel	Hold	$200
Jun 12, 26	JPMorgan	Buy	$340
Jun 08, 26	TD Cowen	Hold	$285
Jun 08, 26	Stifel	Buy	$350
Jun 08, 26	Mizuho	Hold	$270

LTM Financials:



* Revenue segments are based on data from 2025-02-28 to 2025-11-28

* Income Statement is based on LTM data from 2025-05-29 to 2026-05-29

Income Statement

Date	2022	2023	2024	2025	LTM
Revenue	17,606	19,409	21,505	23,769	25,198
Operating Income	6,098	6,650	7,819	8,706	9,252
Net Income to Stockholders	4,756	5,428	5,560	7,130	7,229
Shares Outstanding	464.9	455.3	440.2	418.6	397.5
Diluted EPS	10.1	11.8	12.4	16.7	17.5
EBITDA	6,716	7,268	8,404	9,242	9,729

Balance Sheet

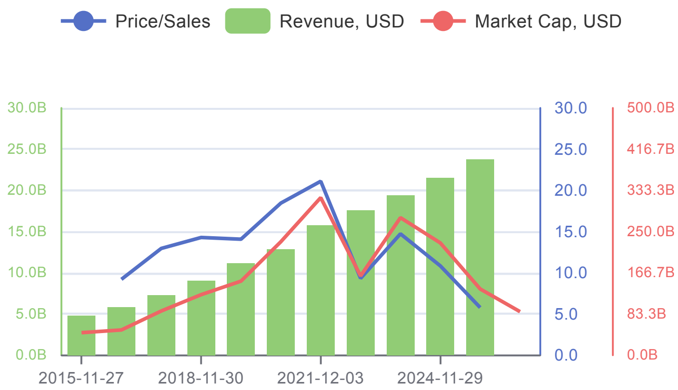
Date	2022	2023	2024	2025	LTM
Total Current Assets	8,996	11,084	11,232	10,163	9,068
Total Assets	27,165	29,779	30,230	29,496	29,933
Total Current Liabilities	8,128	8,251	10,521	10,200	12,078
Total Liabilities	13,114	13,261	16,125	17,873	18,415
Total Equity	14,051	16,518	14,105	11,623	11,518
Total Debt	4,633	4,080	6,056	6,656	7,077

Cash Flow Statement

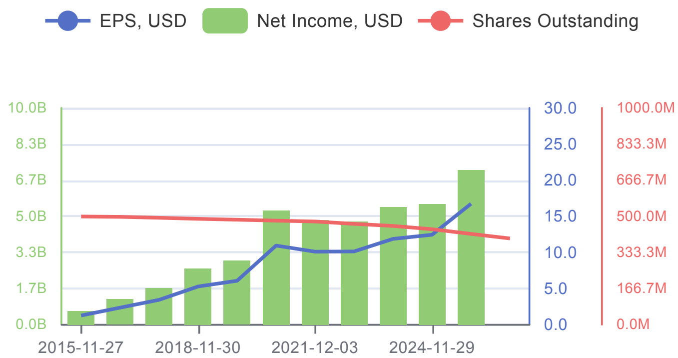
Date	2022	2023	2024	2025	LTM
Cash from Operations	7,838	7,302	8,056	10,031	10,481
Cash from Investing	-570.0	776.0	149.0	-1,187	-1,665
Cash from Financing	-6,825	-5,182	-7,724	-11,060	-8,830
Levered Free Cash Flow	0.0	0.0	0.0	0.0	0.0

*In USD millions, except number of shares, which are reflected in thousands, and per share amounts.

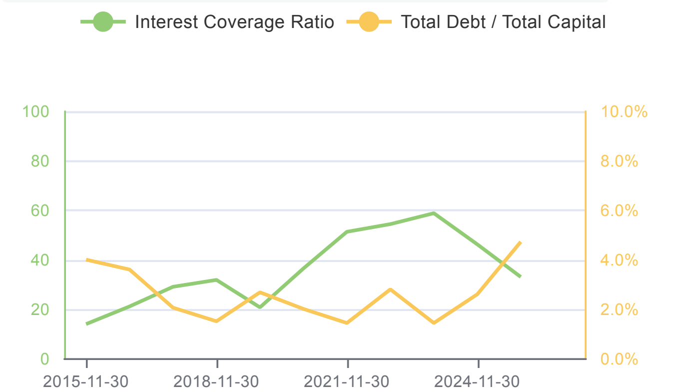
Revenue, Market Cap, Price/sales



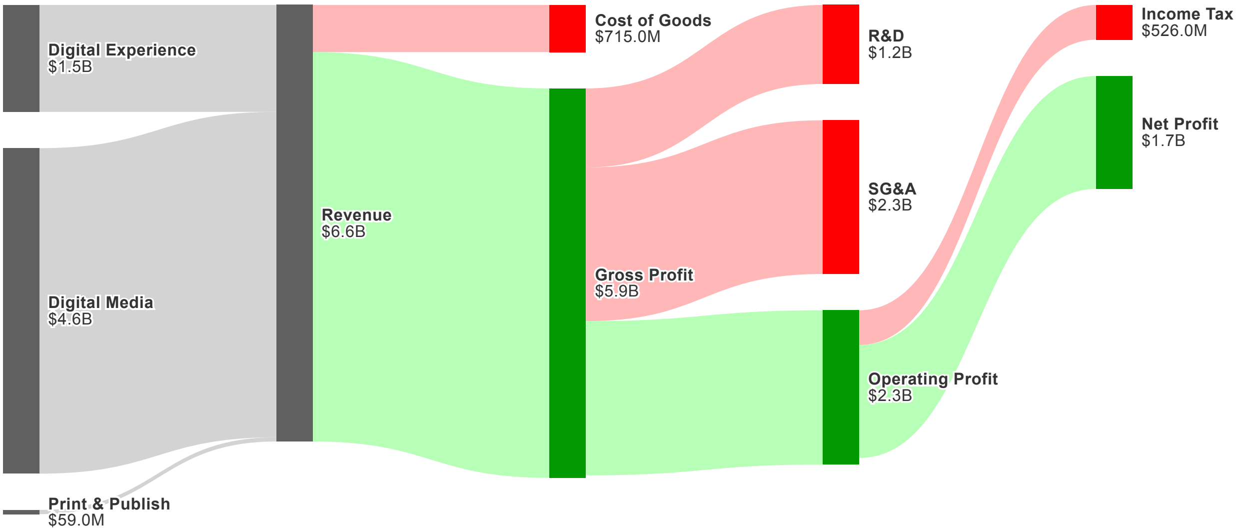
Net Income, EPS, Shares



Leverage and Debt



Q2 Financials



* Revenue segments are based on data from 2025-11-28

* Income Statement is based on LTM data from 2026-05-29

Income Statement

Date	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026
Revenue	5,873	5,988	6,194	6,398	6,618
Operating Income	2,109	2,173	2,261	2,480	2,338
Net Income to Stockholders	1,691	1,772	1,856	1,889	1,712
Shares Outstanding	426.2	424.2	418.6	407.6	404.2
Diluted EPS	3.94	4.18	4.45	4.60	4.25
EBITDA	2,318	2,381	2,445	2,654	2,531

Balance Sheet

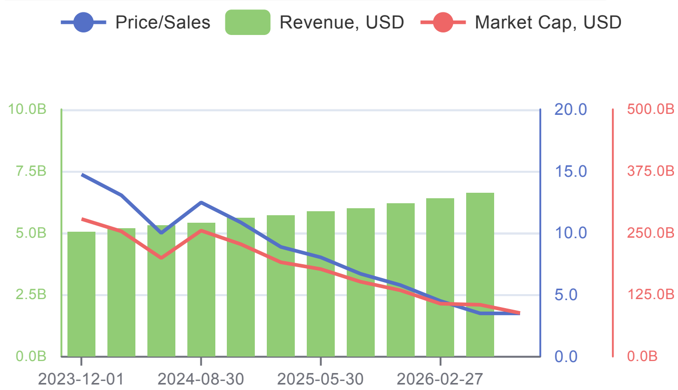
Date	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026
Total Current Assets	8,978	9,412	10,163	10,386	9,068
Total Assets	28,107	28,754	29,496	29,704	29,933
Total Current Liabilities	9,039	9,239	10,200	11,390	12,078
Total Liabilities	16,659	16,984	17,873	18,271	18,415
Total Equity	11,448	11,770	11,623	11,433	11,518
Total Debt	6,581	6,655	6,656	6,670	7,077

Cash Flow Statement

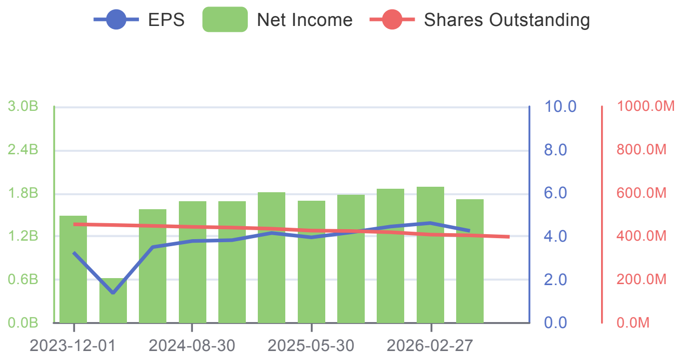
Date	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026
Cash from Operations	2,191	2,198	3,160	2,958	2,165
Cash from Investing	-278.0	-279.0	-146.0	474.0	-1,714
Cash from Financing	-3,788	-1,876	-2,555	-2,544	-1,855
Levered Free Cash Flow	0.0	0.0	0.0	0.0	2,107

*In USD millions, except number of shares, which are reflected in thousands, and per share amounts.

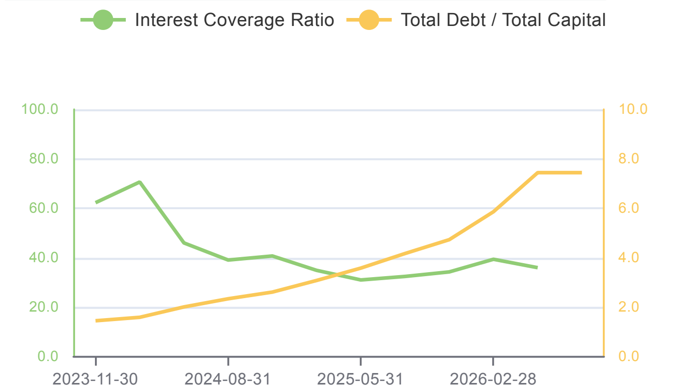
Revenue, Market Cap, Price/sales



Net Income, EPS, Shares



Leverage and Debt

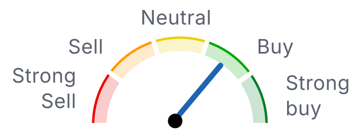


Momentum & Technical Indicators

Price Momentum / Peers

Metric	ADBE	Percentile	Score	CRM	DOCU
Price % of 52 Week High	57.3%	30.9%	1.5	61.8%	54.5%
1 Week Price Total Return	5.0%	70.4%	3.5	3.9%	2.6%
2 Week Price Total Return	12.7%	73.8%	3.7	11.0%	6.8%
3 Week Price Total Return	12.9%	77.8%	3.9	9.4%	10.9%
1 Month Price Total Return	-9.6%	22.3%	1.1	-6.9%	2.3%
3 Month Price Total Return	-7.4%	21.2%	1.1	-3.4%	3.3%
6 Month Price Total Return	-34.7%	12.4%	0.6	-34.6%	-32.3%
1 Year Price Total Return	-42.0%	14.0%	0.7	-37.5%	-39.4%
2 Year Price Total Return	-61.5%	5.3%	0.3	-33.1%	-12.3%
3 Year Price Total Return	-54.3%	9.7%	0.5	-17.7%	-5.0%
4 Year Price Total Return	-43.1%	19.3%	1.0	-1.7%	-28.9%
5 Year Price Total Return	-63.4%	20.1%	1.0	-29.8%	-83.6%

Technical Summary



Buy

Moving Averages

Neutral

Technical Indicators

Strong Buy

The Moving Average Score is based on various moving averages, both simple and exponential, with ranges from 5 to 200.

The Technical Score is calculated based on key technical indicators, including RSI, Stochastic, MACD, Williams %R, CCI, ATR, Highs/Lows, Ultimate Oscillator, ROC, and Bull/Bear Power, among others.

Peer Benchmarks:

Market and Yield Metrics

Metric	ADBE	CRM	DOCU
Market Cap	$88.1B	$138.8B	$9.0B
Price % of 52 Week High	57.3%	61.2%	54.5%
Div Yield	0%	1.04%	0%
Beta	1.43	1.18	0.90
1 Year Return	-42.0%	-37.5%	-39.4%

Growth Metrics

Metric	ADBE	CRM	DOCU
Revenue Growth	11.5%	11.0%	8.42%
Revenue CAGR (5y)	13.1%	14.3%	17.2%
Net Income Growth	5.24%	29.3%	-71.5%
Net Income CAGR (5y)	6.27%	12.9%	
Revenue Forecast CAGR (5y)	9.19%	10.1%	6.07%
Net Income Forecast CAGR (5y)	14.3%	20.4%	31.1%

Financial Statement Metrics

Metric	ADBE	CRM	DOCU
Revenue	$25.2B	$42.8B	$3.3B
Gross Profit	$22.5B	$33.3B	$2.6B
Operating Income	$9.3B	$9.4B	$349.6M
Gross Profit Margin	89.4	77.6	79.5
Net Income to Common	$7.2B	$8.0B	$315.2M
ROE	63.0	16.9	16.4
ROI	40.9	10.7	14.2
ROA	24.9	7.82	7.95
Total Assets	$29.9B	$106.7B	$4.0B
Total Debt	$7.1B	$42.5B	$183.3M

Valuation Metrics

Metric	ADBE	CRM	DOCU
P/E Ratio (LTM)	12.2	17.3	28.6
PEG Ratio	1.03	0.50	-0.40
Price / Book	7.65	4.06	4.96
Price / LTM Sales	3.49	3.24	2.74
Analyst Upside	12.8%	40.5%	16.5%
Fair Value Upside	62.7%	4,793.0%	5,536.0%

Latest Insights

WarrenAI

Bull Case

- Adobe's forward P/E of 9.04x for FY2026 and 8.36x for FY2027 represent a steep discount to software sector peers, while a Fair Value estimate of $360.45 suggests significant upside from current levels near $221.
- AI-first ARR tripled year-over-year to over $500 million, and Firefly ARR grew ~50% quarter-over-quarter, demonstrating accelerating monetization of AI capabilities well ahead of skeptic expectations.
- The freemium pivot is supported by strong early signals: Creative freemium MAU grew from 50M to 90M YoY (+70%), adobe.com traffic is up 40%+ YoY, and Acrobat/Express MAU surpassed 850 million — building a massive conversion funnel for long-term revenue.
- Adobe raised FY2026 revenue guidance to $26.5–$26.6B and non-GAAP EPS to $24.35–$24.45, with 26 analysts revising EPS estimates upward in the past 90 days and zero downward revisions, reflecting broad confidence in execution.
- The Topaz Labs acquisition and NVIDIA partnership expand Adobe's AI video/image capabilities, while the Semrush integration strengthens its enterprise marketing and brand visibility offering — diversifying revenue beyond core creative tools.
- Management has aggressively repurchased ~8.5 million shares in Q2 FY2026 alone, with ~$27 billion remaining under buyback authorizations, providing strong EPS support and signaling confidence in intrinsic value.

Bear Case

- Bank of America reinstated coverage at Underperform with a $190 price target, projecting revenue growth slowing from 10.5% in '25 to 8.8% in '27, with AI-first ARR representing less than 2% of total ARR despite notable adoption.
- The simultaneous departure of CEO Shantanu Narayen (after 18 years) and CFO Dan Durn creates meaningful leadership risk during a critical AI transition period, with no permanent CEO yet named.
- The freemium pivot defers ~$500 million in second-half ARR growth from individual subscribers, with the payback period extending into FY2027 and beyond — introducing near-term earnings uncertainty.
- Adobe Stock marketplace has declined for two consecutive quarters, and casual/non-professional users face growing substitution risk from AI-generated content alternatives, while BofA notes the stock is down ~70% from its '24 peak.
- Operating margins are compressing from 46.2% in FY2025 to ~45% in FY2026, with further pressure possible from high AI inferencing costs, freemium expansion costs, and competitive pricing dynamics.
- The failed $20B Figma acquisition in '23 left a strategic gap in collaborative design, and FTC scrutiny over subscription cancellation practices adds regulatory and reputational risk.

Additional Insights

- Adobe's stock has declined ~15% in the week following Q2 FY2026 earnings and trades near its 52-week low of $190.12 (52-week high: $386.60), with a 1-year change of -42% — reflecting deep investor pessimism that may be creating a contrarian opportunity given the valuation compression.
- The Semrush acquisition (closed April '26) adds $480M ARR and positions Adobe to offer an integrated brand visibility solution combining SEO/GEO intelligence with Adobe Experience Manager — to be unveiled at Cannes Lions '26.
- Q3 FY2026 guidance calls for revenue of $6.67–$6.72B and non-GAAP EPS of $6.05–$6.10, with management noting enterprise seasonality will be more weighted toward Q4 than historical patterns due to the freemium traffic transition.
- Analyst price targets span a wide range of $190 (BofA Underperform) to $380 (high target), with a median of $272.48 — the dispersion itself signals high uncertainty around Adobe's AI transition outcome.
- Adobe's PEG ratio of 1.03 and EV/EBITDA of 9.2x suggest the stock is not pricing in meaningful growth recovery, making it sensitive to any positive inflection in ARR trends or freemium conversion data in H2 FY2026.

SWOT Analysis

WarrenAI

Strengths

- Dominant market position in creative software with ~89% gross profit margins, a profitability rating of 9/10, and ~40% free cash flow margins — among the strongest in enterprise software.
- Highly recurring subscription revenue model (96% of total revenue) with $27.1B in ARR, providing strong revenue visibility and cash flow predictability.
- Aggressive share buyback program with ~$27B remaining authorization and 26 upward EPS revisions in 90 days, reflecting operational discipline and shareholder alignment.
- Diversified platform spanning Creative Cloud, Document Cloud, and Digital Experience, with enterprise customers >$10M ARR growing >20% YoY and strong retention metrics.

Weaknesses

- Simultaneous CEO and CFO transitions during a critical AI strategy pivot introduce meaningful execution and continuity risk.
- Revenue growth decelerating to ~10% and ARR growth expectations cut by ~$500M for H2 FY2026 due to the freemium strategy shift, reducing near-term earnings visibility.
- Stock has declined ~42% over the past year and ~70% from its '24 peak, with short-term obligations exceeding liquid assets and a moderate debt load flagged as concerns.
- Adobe Stock marketplace declining for two consecutive quarters signals weakness in a key content monetization segment.

Opportunities

- Freemium funnel with 850M+ Acrobat/Express MAU and 90M+ Creative freemium MAU represents a massive unconverted base, with Firefly freemium converters showing significantly higher engagement and credit consumption than direct-paid users.
- AI-powered enterprise solutions (CX Enterprise, GenStudio, AEP) address the exploding demand for automated content supply chains, with AEP subscription revenue growing >30% YoY and GenStudio ARR up >25% YoY.
- Topaz Labs acquisition and NVIDIA partnership expand AI video/image capabilities for integration into Firefly, Photoshop, Lightroom, and Premiere — broadening the creative AI moat.
- Semrush integration enables a comprehensive brand visibility solution combining inside-out content intelligence with outside-in SEO/GEO data, targeting CMOs across all enterprise scales.

Threats

- Rapid advancement of generative AI from competitors (Canva, Figma, AI-native startups) and major tech platforms threatens to commoditize creative work and erode Adobe's premium pricing power, especially in consumer and SMB segments.
- FTC/DOJ lawsuit alleging deceptive subscription cancellation practices poses regulatory, financial, and reputational risk that could force business model changes.
- BofA projects total revenue growth slowing to 8.8% by '27, and if the freemium conversion payback extends beyond expectations, investor confidence in the strategy could deteriorate further.
- Macroeconomic slowdown could reduce enterprise marketing and software spend, disproportionately impacting the Digital Experience segment which is more sensitive to budget cycles.

Earnings Call - Q2 2026

06/11/26 | WarrenAI

- Adobe reported record Q2 FY2026 revenue of $6.62B (+11% YoY constant currency) and non-GAAP EPS of $5.96 (+18% YoY), beating forecasts of $6.46B and $5.82 respectively.
- Total ARR reached $27.1B (+12.5% YoY), including ~$480M from Semrush; RPO of $22.27B grew 13% YoY, indicating strong future revenue visibility.
- Adobe is pivoting aggressively to freemium, deferring Creative Cloud price optimizations — reducing H2 ARR growth expectations by ~$500M (~half from deferred pricing, half from freemium traffic redirection.
- FY2026 guidance raised: revenue $26.5–$26.6B, non-GAAP EPS $24.35–$24.45, targeting 10.2% total ARR growth vs. beginning book of $25.66B.
- CFO Dan Durn departed; Steve Day (20-year Adobe veteran) named interim CFO. CEO Narayen transitioning to board chair with CEO search progressing.

Bullish Highlights

- AI-first ARR grew 3x YoY to >$500M; Firefly ARR grew ~50% QoQ through apps and credit packs; CXO AI-first ARR grew 4x YoY.
- Creative freemium MAU surged from 50M to 90M YoY (+70%); Acrobat/Express MAU exceeded 850M (+~20% YoY); adobe.com traffic grew 40%+ YoY.
- Acrobat AI Assistant paid MAU grew >150% YoY; lifetime AI users in Acrobat tripled YoY; GenStudio ARR grew >25% YoY; AEP subscription revenue grew >30% YoY.
- Operating cash flow was $2.17B in Q2; ~8.5M shares repurchased; ~$27B remaining under buyback authorizations including new $25B authorization from April '26.
- Enterprise customers with >$10M ARR grew >20% YoY; over 80% of AEP and AEM customers now using agentic capabilities.

Bearish Highlights

- Stock declined 1.24% in aftermarket trading post-earnings and has fallen ~15% over the past week, trading near its 52-week low.
- Freemium pivot defers ~$500M in H2 ARR growth from individual subscribers, with payback period extending into FY2027, creating near-term earnings uncertainty.
- GAAP results included a $70M non-cash goodwill impairment charge related to the publishing and advertising reporting unit ($0.17/share impact).
- Non-GAAP operating margin guided at ~45% for FY2026, down from 46.2% in FY2025, with Q3 margin guided at ~44%.
- Simultaneous CEO and CFO transitions during a critical strategic pivot introduce execution and continuity risk flagged by multiple analysts.

Q&A Highlights

- On freemium timing (Wells Fargo, Wolfe Research): Management cited early success signals — 40%+ traffic growth, 70%+ MAU growth, 50% QoQ Firefly ARR growth — as the basis for accelerating now rather than balancing freemium and direct-to-paid flows.
- On Creative Cloud price deferral payback (Wolfe Research): Shantanu noted deferred pricing is not cancelled — it will be reintroduced as freemium offerings mature; the ~$500M ARR impact is split ~50/50 between pricing deferral and freemium traffic shift.
- On Semrush/brand visibility (RBC): Management described combining Semrush's outside-in search intelligence with Adobe Experience Manager's inside-out content to create a comprehensive brand visibility solution for CMOs, to be unveiled at Cannes Lions.
- On coopetition with Google/AI platforms (Deutsche Bank): Adobe's Creative Agent is now available in ChatGPT and Claude, with Copilot and Gemini coming soon; monetization via credit consumption aligns with partner platform economics.
- On capital allocation and M&A (Piper Sandler): Management noted the $25B buyback authorization reflects confidence in intrinsic value; tuck-in M&A opportunities exist in AI technology companies with unsustainable business models.

Misses

- H2 FY2026 ARR growth expectations from individual subscribers cut by ~$500M due to the freemium pivot and deferred Creative Cloud price optimizations — the primary investor disappointment.
- Stock declined despite the earnings beat, reflecting market concern that the freemium strategy represents a structural revenue deferral with an uncertain and extended payback period.
- No concrete timeline provided for CEO appointment, leaving strategy uncertainty unresolved heading into FY2027 planning season.
- Adobe Stock marketplace weakness and casual user substitution risk were not directly addressed with mitigation strategies during the call.

Top News, last 60 days:

[SpaceX IPO set to raise $75B; Trump signals potential Iran peace deal; oil drops below $90]

June 12, 2026

- SpaceX is set to begin trading on Friday, June 12, 2026, at $135 per share, selling over 555 million shares for a valuation of approximately $1.77 trillion and raising about $75 billion, surpassing Saudi Aramco's 2019 $25.6 billion IPO record.
- President Trump stated on Thursday, June 11, 2026, that a deal with Iran to reopen the Strait of Hormuz and end the naval blockade had been reached, with potential signing in Europe over the weekend, though Iran's foreign ministry confirmed major sections were close but rejected claims a deal was signed.
- Brent crude futures fell 2.0% to $88.62 per barrel and WTI crude declined 2.2% to $85.82 per barrel on Friday, June 12, 2026, below recent peaks but still above prewar levels from before late February 2026.

Importance - 8/10 Neutral

[Adobe beats Q2 FY2026 forecasts but cuts ARR growth outlook on strategic freemium pivot]

June 11, 2026

- Adobe reported Q2 FY2026 (ended Thursday, June 11, 2026) revenue of $6.62 billion (up 11% yearoveryear in constant currency) and EPS of $5.96, exceeding forecasts of $6.46 billion and $5.82 respectively.
- Stock declined 1.24% in aftermarket trading to $230.49 and has fallen 15% over the past week to $218.80, near its 52week low of $218.09.
- Annual Recurring Revenue reached $27.1 billion (up 12.5% yearoveryear), including approximately $480 million from the Semrush acquisition closed in April 2026.
- Company is pivoting to aggressive freemium strategy and deferring previously planned Creative Cloud price optimizations, lowering secondhalf ARR growth expectations from individual subscribers by approximately $500 million.
- Adobe raised fullyear FY2026 revenue guidance to $26.5$26.6 billion and nonGAAP EPS to $24.35$24.45, now targeting 10.2% total ARR growth versus beginning book of business of $25.66 billion.

Importance - 8/10 Neutral

[SpaceX $75B IPO expected June 11 as S&P 500 ends nine-week rally on jobs data]

June 05, 2026

- SpaceX plans to raise $75 billion in an IPO valuing the company at $1.75 trillion, with pricing expected on June 11 and trading to begin on Nasdaq on June 12.
- SpaceX posted a net loss of $4.94 billion in 2025, even as revenue rose 33% to $18.67 billion.
- The S&P 500 posted a weekly decline on Friday, June 5, after nine straight weeks of gains, though still up about 8% in 2026 and 16% since its lateMarch low.
- May Consumer Price Index data is due Wednesday, June 10, with focus on energy price impacts ahead of the Federal Reserve meeting this month.
- Anthropic confidentially filed for a U.S. IPO this week, expected to follow SpaceX along with OpenAI in coming months.

Importance - 8/10 Neutral

[BofA reinstates Adobe at Underperform with $190 price target, citing AI competitive threats]

July 07, 2026

- Bank of America reinstated Adobe coverage on Tuesday, July 7, 2026, with an Underperform rating and $190 price target based on 7x projected 2027 EV/FCF, below the ~9.7x peer average.
- Adobe's stock closed at $218.07 on Monday, July 6, 2026, down () 70% from its 2024 peak and near the lower end of its 52week range.
- BofA projects Adobe's total revenue growth slowing from 10.5% in 2025 to 8.8% in 2027, with AIfirst ARR representing less than 2% of total ARR despite noteworthy AI product adoption.
- Adobe Stock marketplace has declined for two consecutive quarters, and casual/nonprofessional users face substitution risk from AIgenerated alternatives, while professional users remain more resilient.
- Recent simultaneous departures of CEO Shantanu Narayen (who led since 2007) and CFO Dan Durn heighten risk around strategy and leadership stability during the AI transition.

Importance - 7/10 Negative

Adobe to Acquire AI Video and Image Enhancement Company Topaz Labs

June 25, 2026

- Adobe (ADBE) entered into a definitive agreement to acquire Topaz Labs, an AI company developing video and image enhancement models including upscaling, sharpening, noise removal, stabilization, frame interpolation and restoration.
- Topaz Labs has millions of customers including 20 of the world's 50 largest companies, received an Emmy Award for video technology, and holds proprietary Neurostream technology enabling large AI models to run locally on consumer devices.
- Adobe plans to integrate Topaz Labs' models into Firefly, Firefly Services and Creative Cloud products including Photoshop, Lightroom and Premiere, while continuing to sell Topaz Labs products as standalone offerings.
- Financial terms were not disclosed; the transaction is expected to close in the second half of 2026 subject to regulatory approvals and customary closing conditions.

Importance - 7/10 Positive

Major AI-related analyst moves: Intel double-upgraded, SpaceX initiated at Buy post-IPO, Adobe downgraded

June 13, 2026

- Goldman Sachs raised Micron price target to $900 from $400 (maintained Neutral rating), lifting 20262027 revenue and EPS estimates by 28% and 36% on average, projecting fiscal Q3 revenue of $37.6 billion versus consensus $34.4 billion.
- Wolfe Research initiated SpaceX coverage at Outperform with $175 price target following Nasdaq debut after pricing largestever U.S. IPO at $135/share, raising record $75 billion at $1.77 trillion valuation.
- Bank of America doubleupgraded Intel from Underperform to Buy with price target raised to $135 from $96, now projecting earnings power exceeding $6 per share by 2030 (up from prior $34 estimate).
- BofA upgraded STMicroelectronics to Buy from Neutral with Streethigh €86/$100 price target, modeling 20262028 EPS 3043% above consensus.

Importance - 7/10 Neutral

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